

## **DOCTORS, PAWS, AND UAWS**

---

On average, physicians earn more than four times the income of the average American household: \$140,000 versus \$33,000. But Dr. South and Dr. North are hardly average physicians. They are gifted and highly trained specialists. In fact, the average annual income for someone in their specialty is more than \$300,000. But again, they are extraordinary even among their cohorts. Last year they each earned more than \$700,000.

In spite of his income, Dr. South has a relatively small level of accumulated wealth. He spends a lot, invests little. Our research has found that physicians in general do not tend to be wealth accumulators. In fact, among all major high-income-producing occupations, physicians have a significantly low propensity to accumulate substantial wealth. For every one doctor in the PAW group, there are two in the UAW category.

Why are doctors lagging behind on the wealth scale? There are several reasons. Foremost among them is the correlation between wealth and education. This relationship may surprise some people. For all high-income earners (those earning at least \$100,000 annually), the relationship between education and wealth accumulation is *negative*. High-income PAWs are significantly *less* likely than UAWs to hold graduate degrees, law degrees, or medical degrees. Millionaires typically indicate on our survey “business owner” with “some college,” “four-year college graduate,” or “no college.”

*Warning: Parents should not suggest that their children drop out of college and start a business.* Most businesses fail within a few years of their conception. Only a small minority of business owners ever earns a six-figure income. But those who do tend to accumulate more wealth than others in the same income cohort.

The “some college,” “four-year college graduate,” and “no college” types who have high incomes often had a head start on many well-educated workers. Doctors and other well-educated professionals get a very late start in the earnings race. It is difficult to accumulate wealth when one is in school. The longer one stays in school, the longer one postpones producing an income and building wealth.